

H World Group (HTHT)

Quartr-Enhanced Investment Analysis

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Ticker: HTHT (NASDAQ / HKEX)

Market Cap: ~USD 15.1B

1. Business History

Ji Qi is one of China's most prolific serial entrepreneurs in the consumer internet and services economy, and the company he built -- now called H World Group -- is legible only through his prior ventures. Before founding Huazhu, Ji Qi co-founded Ctrip in 1999, which became China's dominant online travel agency and listed on NASDAQ in December 2003. He then co-founded Home Inns, which became China's largest economy hotel chain and went public on NASDAQ in October 2006. These two ventures gave Ji Qi an unusual double vantage point: he understood both the demand side of Chinese travel (through Ctrip's booking data) and the supply side (through Home Inns' operations). When he read a book about Accor's multi-brand hotel model in France, he recognized that China's economy hotel segment was only the starting point -- the real prize was building a vertically integrated, multi-brand hotel platform that could ride China's urbanization wave across every price tier. In August 2005, the first HanTing Hotel opened near Kunshan Railway Station for trial operations. The holding entity, Powerhill, had been incorporated in the British Virgin Islands in December 2003, but HanTing was Ji Qi's clean-sheet creation, designed from the start around standardized, technology-enabled economy hotels for domestic business travelers. The company's first inflection point came with its NASDAQ IPO on March 26, 2010, under the name China Lodging Group (ticker: HTHT), raising approximately \$110 million. That same month, JI Hotel launched as the company's first midscale brand, signaling Ji Qi's ambition to move beyond economy lodging. The speed of brand proliferation over the next few years was deliberate: Starway Hotel was added in 2012 through acquisition, and in November 2012 the Chinese trade name changed from

"HanTing Hotel Group" to "Huazhu Hotels Group" -- literally "China's Accommodation" -- to accommodate the broader brand architecture. Manxin Hotel and Joya Hotel followed in late 2013, targeting boutique and upscale segments respectively, and Elan Hotel launched in September 2014 as a second economy brand aimed at younger travelers. This was no longer a single-brand economy chain; it was a deliberate march up the price ladder.

The second major inflection came in December 2014, when Huazhu and Accor signed a sweeping strategic alliance, finalized in January 2016. Accor took a 10.8% stake in Huazhu and a board seat; Huazhu took a 29.3% non-controlling stake in Accor's luxury and upscale platform for Greater China. The operational substance was a master-franchise agreement enabling Huazhu to open hotels under Accor's ibis, Novotel, and Mercure brands in China. This partnership gave Huazhu instant credibility in midscale and upscale segments without the years-long investment of building those brands organically. It also placed Sebastien Bazin, Accor's CEO, on Huazhu's board, exposing Ji Qi's management team to European hospitality thinking. The Accor relationship proved catalytic but ultimately temporary as a financial tie: Accor progressively sold down its equity stake, completing the disposal for approximately \$460 million, though the operational brand partnership continued.

The third inflection was the acquisition of Orange Crystal Hotel Group in February 2017, which brought the Crystal Orange and Orange Hotel brands into the portfolio and deepened Huazhu's midscale presence -- the segment where China's consumption upgrade was generating the fastest growth. Blossom Hill, a boutique resort brand, was acquired in August 2018, extending the portfolio into leisure travel.

But the single most transformative structural move was the acquisition of Deutsche Hospitality, announced in November 2019 for approximately 700 million euros and closed on January 2, 2020. Deutsche Hospitality brought five European brands -- Steigenberger Hotels and Resorts, IntercityHotel, MAXX by Steigenberger, Jaz in the City, and Zleep Hotels -- along with 118 operating hotels and 36 in the pipeline, spread across Germany and neighboring European markets. This was not merely geographic diversification. It gave Huazhu a genuine international operating platform, luxury brand credibility (Steigenberger is a storied German upscale name dating to the 1930s), and a template for exporting Chinese hospitality management efficiency to European properties. The company restructured into two operating segments -- legacy Huazhu and legacy DH -- to manage the integration. Deutsche Hospitality was later rebranded as H World International in March 2024.

The name change from Huazhu Group to H World Group Limited in September 2022 codified this international ambition. The "H" was deliberately multi-referential, standing for Huazhu's heritage while signaling a world beyond China. By then the company had also achieved a secondary listing on the Hong Kong Stock Exchange in September 2020, providing access to Asian capital markets and hedging against U.S.-China regulatory friction around the HFCA Act.

Throughout all of this, one thread has been constant: the relentless shift toward an asset-light model. Huazhu pioneered the "manachise" model -- a hybrid of franchise and management contracts where the franchisee owns or leases the property and Huazhu provides the general manager and operational systems. This is distinct from a pure franchise because Huazhu retains more operational control, which protects brand consistency, but distinct from a lease because the capital burden sits with the property owner. As of late 2024, approximately 92% of the company's rooms were under franchise or manachise agreements, and asset-light revenue contribution exceeded 50% of total revenue for the

first time. Management has been explicit that this transformation is the central strategic priority, aimed at producing more stable, sustainable cash flow with lower cyclical exposure. The company opened a record 2,442 new hotels in 2024, with legacy Huazhu hitting the milestone of 10,000 hotels across 1,000 cities and counties -- including in Abazhou Mao County in Tibet, the last county in China to gain highway access.

The cultural DNA that connects the first HanTing Hotel in Kunshan to the 12,700-hotel global network is Ji Qi's technology-first operational philosophy, inherited from Ctrip. Huazhu was among the first Chinese hotel groups to build a centralized IT platform covering reservation, revenue management, and property operations. The loyalty program -- now exceeding 245 million members -- functions as a direct distribution channel that reduces dependence on online travel agencies. Ji Qi has remained as executive chairman throughout the company's evolution, providing strategic continuity even as professional management (including CEO Jin Hui, appointed in later years) handles day-to-day operations. His instinct has always been the same: use technology and standardization to compress the cost structure, then use the resulting margin advantage to fuel expansion faster than competitors. What began as a single economy hotel brand inspired by a book about Accor has become, two decades later, a 19-country hotel platform that rivals Accor itself in scale across Asia and Europe.

2. Management & Incentives

H World Group is a founder-led company, and that founder's fingerprints remain all over the organization. Ji Qi, who also co-founded Ctrip (now Trip.com) and Home Inns before starting Huazhu in 2005, serves as Executive Chairman. His beneficial ownership through the Ji Family Trust and direct holdings totals roughly 701 million ordinary shares indirectly plus approximately 15.5 million directly, amounting to an estimated 23-24% economic interest in the company's approximately 3.08 billion shares outstanding. On top of that, he holds roughly 29 million RSUs granted in 2023-2024 with multi-year vesting and 8 million stock options at a \$2.80 strike price expiring in 2033. This is substantial skin in the game for a \$15 billion market-cap company, and his equity incentives vest over periods extending to 2029, aligning him with long-term shareholders.

CEO Jin Hui is an internal promotion and a true Huazhu lifer. He joined the company in February 2005, barely months after its founding, starting as a regional development manager after a stint at Home Inns. He rose through director, VP, and EVP roles before being named president in 2016 and CEO in October 2021, succeeding Ji Qi himself. Jin holds 5.5 million direct shares, 5.7 million RSUs vesting through 2029, and 4.7 million options at \$2.80. His total equity exposure of roughly 15.8 million share-equivalents represents meaningful personal wealth tied to the stock price. The Q4 2025 earnings call reveals a CEO who speaks in operational specifics -- RevPAR trends, brand purification, lower-tier city penetration -- rather than vague strategic platitudes. He set a target of flat to slightly positive RevPAR for 2026 and guided 2,200-2,300 hotel openings, demonstrating comfort with concrete, verifiable commitments.

The CFO transition is worth monitoring. Hui Chen, who served as CFO for essentially the company's entire 20-year history, stepped down effective March 18, 2026, though she remains as Chief Compliance Officer to ensure continuity. Her replacement, Arthur Yu, brings a genuinely international

finance pedigree: CFO of Jaguar Land Rover Greater China, CFO of BT Group for Asia/Middle East/Africa, CFO and president at Baozun (a NASDAQ-listed e-commerce company), with earlier career foundations at PwC and Rolls-Royce. He holds a BSc from Warwick, an MSc from LSE, and an executive MBA from Cambridge. His initial equity grant is modest -- just 18,960 performance RSUs granted in February 2026 -- which is strikingly small relative to the CEO's holdings. This likely reflects either an introductory tranche with larger grants to follow or a compensation philosophy that front-loads cash over equity for new hires. His opening remarks on the Q4 call were appropriately restrained: "build a world-class finance function, maintain rigorous control and investment oversight." The real test will be whether he brings more capital-markets sophistication to a company that has historically communicated in a functional but somewhat opaque Chinese corporate style.

Chief Strategy Officer Jihong He oversees Legacy-Deutsche Hospitality (DH), the European hotel portfolio acquired just before COVID in 2020. Her Q4 2025 commentary was notable for its candor about the turnaround: she acknowledged the business was loss-making, described concrete measures (lease renegotiations, exiting unprofitable properties, converting leased hotels to asset-light), and reported a record adjusted EBITDA of approximately RMB 500 million in 2025 versus losses the prior year. This is a management team that has been transparent about DH being a problem and methodical in fixing it.

On compensation structure, H World discloses in aggregate rather than individually, consistent with Cayman Islands listing standards. The compensation architecture relies heavily on performance-based RSUs and stock options with multi-year vesting (typically 50% on the second anniversary, then 1/8 every six months thereafter), creating genuine long-term alignment. The \$2.80 option strike price for both Ji Qi and Jin Hui suggests grants dating to 2023 when the stock traded near that level, meaning these options are deeply in the money at current prices around \$49, representing significant unrealized wealth contingent on continued performance.

Capital allocation has been the strongest proof point for management credibility. In 2024, the company announced a USD 2 billion three-year shareholder return plan. By the end of FY2025, they had already completed over 75% of it -- USD 760 million returned in 2025 alone (USD 650 million in dividends plus USD 110 million in buybacks), which exceeded 100% of adjusted net profit. This was funded by RMB 8.4 billion in operating cash flow and a net cash position of RMB 9.6 billion. The company is doing exactly what it said it would do, ahead of schedule. Simultaneously, the asset-light transformation has shifted the hotel mix decisively toward manachised and franchise models, with M&F revenue up 23.1% year-over-year to RMB 11.7 billion in 2025 and profit contribution reaching 69% of the group total, up 5 percentage points. This is not capital allocation by accident; it is a deliberate, well-executed strategy to grow earnings while reducing capital intensity and returning cash.

The board underwent meaningful refreshment in August 2025 when Justin Leverenz (former CIO of Invesco's Developing Markets Fund) and Yi Zhang (independent director at Hesai Group, CPA background) joined, while Tong Tong Zhao shifted to observer and Jian Shang departed. The board also includes Jiong John Wu and Lei Cao. Yi Zhang chairs the audit committee, bringing credible financial oversight credentials. The key concern is that detailed board independence ratios are not prominently disclosed, and Cayman Islands governance standards are less demanding than those for US-incorporated companies. Investors must trust the founder's alignment rather than relying on robust independent oversight mechanisms.

The primary key-person risk is Ji Qi himself. He is the strategic architect, the cultural anchor, and the largest shareholder. However, the succession from Ji Qi to Jin Hui as CEO in 2021 was orderly and has produced strong results -- suggesting the company can function operationally without the founder in the chief executive seat. The deeper risk is that Ji Qi's entrepreneurial instinct could lead to another large acquisition (as Deutsche Hospitality was), though the current emphasis on asset-light growth and aggressive shareholder returns suggests the lesson from DH has been absorbed. The CFO transition from a 20-year insider to an external hire is a calculated bet on professionalization, but the retention of Hui Chen as CCO provides institutional memory during the handover.

3. Competitive Landscape

H World Group operates in what remains one of the most structurally attractive hotel markets in the world. China's branded chain penetration rate stands at roughly 41%, compared with over 70% in the United States, leaving an enormous runway for consolidation. The industry is still deeply fragmented: millions of independent, often substandard properties dot tier-3, tier-4, and lower cities where branded supply is under 25%. This backdrop of "high-quality supply in shortage," as CEO Jin Hui has framed it on earnings calls, is not a temporary condition but a structural feature that should persist for years, giving well-capitalized chain operators a long conversion pipeline. H World's own data underscores the opportunity -- brand conversions and renovations hit a record 265 projects and nearly 49,000 rooms in Q4 2025, up 36% year-over-year in project count.

The domestic competitive field is dominated by three Chinese groups and a handful of international operators. Jin Jiang International is the largest by room count globally (roughly 1.44 million rooms across 14,300 hotels), but its revenue generation trails H World's, and its top line actually contracted 4% in 2024 while H World grew. BTG Homeinns remains a meaningful player, particularly in the economy segment, positioning around Chinese cultural storytelling as a differentiation tool. The fastest-growing challenger is Atour Lifestyle, which surpassed 2,000 hotels by year-end 2025 with 224,000 rooms and delivered 35% revenue growth for the full year. Atour's hybrid hospitality-retail model, where retail GMV contributed 39% of total revenue through products like its "deep-sleep" pillow line, represents a genuinely novel approach to hotel economics. International chains Marriott and Hilton compete aggressively at the upper end, but their penetration into China's vast economy and midscale segments remains shallow.

H World's competitive advantages are layered and mutually reinforcing. The most potent is its 245-million-member loyalty program, the largest among Chinese hotel operators (Jin Jiang trails at roughly 200 million). This membership base drove 245 million room nights booked directly in 2025, a 21.5% year-over-year increase, and sustains the company's 65%-plus direct booking rate through its Central Reservation System. This direct distribution channel is a critical moat against online travel agencies. Ctrip/Trip.com commands approximately 42% of China's OTA market, and Meituan dominates budget accommodations, but neither can extract the same commission economics from H World that they levy on independent properties. Management has stated explicitly on earnings calls that while they use OTAs tactically when entering new markets, the long-term strategy is to funnel

traffic through direct channels. Each additional hotel in the network makes the membership program more valuable to travelers, which in turn makes the franchise proposition more compelling to property owners -- a classic two-sided network effect.

The franchise model itself is a source of cost advantage and operating leverage. M&F revenue grew 23.1% in 2025 to RMB 11.7 billion, and M&F gross operating profit reached RMB 7.6 billion, now contributing 69% of total gross operating profit, up from 64% in 2024. This asset-light structure means H World captures recurring, high-margin fees while franchisees bear the capital cost of property development. The company's centralized procurement and supply chain management -- underscored by the launch of HanTing 4.0 as a "revolutionary supply chain reform" -- gives it purchasing power that independent operators cannot match, reducing buildout and operating costs for franchisees and creating switching costs once a property is integrated into H World's technology stack, procurement systems, and distribution infrastructure.

Pricing power exists but is moderate and segment-dependent. Full-year 2025 same-hotel ADR for Legacy-Huazhu declined 2.6% year-over-year, with RevPAR down 5.7% on a 2.6 percentage point drop in occupancy. Management attributed this partly to macro softness in business travel and partly to deliberate expansion into lower-tier cities where absolute rate levels are lower. On the Q3 2025 call, Jin Hui noted that "in certain regions, our products and service is definitely in a leading position, which gave us some of the pricing power, which led us to achieve a better ADR." The picture is clearer at the brand level: HanTing commands a premium within the economy segment because of product upgrades (82% of the fleet is now HanTing 3.5 or above), and JI Hotel similarly dominates its midscale niche. But in an environment where Meituan-driven price transparency puts constant pressure on room rates, and a macro backdrop of cautious Chinese consumer spending persists, H World's pricing power is best described as relative rather than absolute.

Barriers to entry in China's hotel industry are meaningful but not insurmountable. Building a 245-million-member loyalty program takes years and billions in cumulative marketing spend. The technology infrastructure -- proprietary PMS, CRS, and revenue management systems -- represents substantial sunk investment. Relationships with tens of thousands of franchisees create a self-reinforcing flywheel that new entrants cannot easily replicate. However, Atour's rapid ascent demonstrates that a sufficiently differentiated brand concept can carve out share even against entrenched incumbents. Capital is not the binding constraint; brand distinctiveness and operational capability are.

The most significant disruptive threats come from two directions. First, the OTA platforms themselves: Meituan's super-app model, which embeds hotel booking within a broader local services ecosystem, could erode direct booking rates if Meituan begins subsidizing hotel rooms more aggressively or if consumers increasingly default to super-app behavior for accommodation decisions. Second, the emergence of non-traditional accommodation supply -- short-term rentals, serviced apartments, and Airbnb-style platforms -- could theoretically siphon leisure demand, though regulatory constraints on short-term rentals in China and the dominance of business travel in H World's customer mix limit this risk for now.

Within the value chain, H World occupies the highest-leverage position: the brand and distribution layer between property owners and travelers. It does not bear the capital intensity of property ownership (92% of rooms are M&F), nor does it face the margin compression of pure-play OTAs

fighting for market share. Its 2026 guidance -- M&F revenue growth of 12-16%, gross openings of 2,200-2,300 hotels against 600-700 closures -- signals continued network densification. The strategic question is whether H World can maintain quality standards and franchisee economics as it pushes deeper into lower-tier markets where demand is thinner and operational complexity is higher. The company's target of reaching 2,000 cities (up from 1,447 today) is ambitious. If it executes, the resulting network density would be extraordinarily difficult for any competitor to replicate.

4. Financial Characteristics

H World Group's financial profile tells the story of a hotel platform in the middle of a structural transformation -- from a capital-heavy operator of leased properties toward an asset-light franchise model -- with the inflection now clearly visible in the numbers.

The revenue model divides into three streams: manachised (franchised-and-managed) hotels, leased-and-owned hotels, and other revenue including the loyalty program and technology services. The decisive shift is in mix. Manachised revenue reached RMB 11.7 billion in FY2025, up 23.1% year-on-year, and now represents approximately 46% of total revenue of RMB 25.3 billion, up from roughly 40% two years prior. More importantly, manachised operations contribute 69% of gross operating profit at a margin of approximately 68%, versus the far thinner margins on leased properties where the company bears occupancy cost risk. Leased-and-owned revenue is in deliberate secular decline as management converts or exits these properties. Geographically, legacy Huazhu (China) dominates, with Deutsche Hospitality (the European operation acquired in 2020) contributing a minority of revenue but adding a geographic diversification layer. Hotel GMV reached RMB 108.1 billion in FY2025, up 16.4%, reflecting the growing scale of the platform's booking throughput relative to its own consolidated revenue.

The margin trajectory is the most striking feature of the financials. Gross margin expanded from 11.6% in FY2022 (the trough of China's COVID lockdowns) to 39.4% in FY2025, a nearly 28 percentage-point swing in three years. Operating margin followed a parallel path: negative 2.1% in FY2022 to 26.9% in FY2025. EBITDA margins reached 34.0% in FY2025 (adjusted EBITDA margin of 33.5% per management). This is not merely a cyclical recovery; the mix shift toward manachised revenue structurally elevates the margin ceiling. Each incremental manachised room added to the network generates fee income at near-zero marginal cost. The gap between FY2019's operating margin of 18.8% and FY2025's 26.9% -- despite RevPAR that has not fully recovered to 2019 levels (legacy-Huazhu RevPAR was still declining 3-4% year-on-year through mid-2025) -- quantifies how much operating leverage the model shift has created.

Returns on capital are exceptionally high and rising. ROE reached 39.5% in FY2025, up from 24.8% in FY2024 and 33.7% in the initial recovery year of FY2023. The invested capital base has been shrinking rapidly as debt is repaid and cash accumulates: long-term debt fell from RMB 10.9 billion at end-2020 to just RMB 479 million at end-2025, while cash rose to RMB 10.4 billion (RMB 15.3 billion including short-term investments). Net cash stood at RMB 9.6 billion at year-end 2025 per management, making ROIC calculations increasingly distorted by the vanishing denominator, but the directional message is clear: this business generates enormous returns on a declining capital base.

For context, Hilton's ROIC runs around 13-14% and Marriott's around 12%, though those are measured on negative or near-zero equity bases after years of buybacks. The more meaningful comparison is that H World is achieving Hilton/Marriott-class operating margins (Hilton's FY2024 operating margin was approximately 21%) while still running a meaningful leased portfolio that dilutes the consolidated figure.

Cash conversion is a standout. Operating cash flow was RMB 8.4 billion in FY2025 against net income of RMB 5.1 billion, a CFO-to-net-income ratio of 164%. In FY2024, the ratio was 247%; in FY2023, 186%. The persistent excess of cash flow over reported earnings reflects high depreciation and amortization charges (RMB 1.3 billion in FY2025) running through the income statement on the legacy leased portfolio, plus favorable working capital dynamics. The hotel business collects from guests at check-in or via online travel agencies on short settlement cycles, while payables to suppliers and loyalty program deferred revenue provide a funding float. Unearned revenue additions have been a consistent source of working capital benefit.

Capital intensity has declined dramatically alongside the model transition. Capex fell from RMB 1.7 billion in FY2020 to RMB 838 million in FY2025, and capex-to-revenue dropped from 17.1% to just 3.3%. As franchised hotels are built and maintained with franchisee capital, H World's own capex increasingly reflects maintenance spending on its shrinking leased estate, IT platform investment, and selective new openings. Free cash flow consequently exploded: from negative in FY2020-2021 to RMB 6.8 billion in FY2023, RMB 6.6 billion in FY2024, and RMB 7.5 billion in FY2025. The company has used this to eliminate virtually all debt, pay RMB 3.9 billion in dividends in FY2025, and repurchase RMB 783 million in shares.

Balance sheet strength is now fortress-grade. Total equity of RMB 13.0 billion supports total assets of RMB 64.8 billion, with the liability side dominated by operating lease obligations and trade payables rather than financial debt. The debt-to-equity ratio collapsed from 0.95x in FY2020 to 0.04x in FY2025.

The balance sheet does carry RMB 5.4 billion in goodwill from the Deutsche Hospitality acquisition, roughly 42% of equity, which warrants monitoring but is not outsized relative to cash generation. Cyclical risk remains the key risk. The FY2020-2022 period demonstrated that leased hotel operations create severe downside: revenue fell only 9% peak-to-trough (FY2019 to FY2020), but operating income swung from positive RMB 2.1 billion to negative RMB 1.7 billion, and cash from operations collapsed from RMB 3.3 billion to RMB 609 million. The fixed cost structure of leased hotels -- rent obligations persist regardless of occupancy -- amplifies both upside and downside. As the franchised share rises, this operating leverage diminishes. In a future downturn, H World's franchise fee stream would decline with RevPAR but would not generate operating losses, a structural de-risking. The quarterly data through 2025 shows this resilience: even with legacy-Huazhu RevPAR declining 3-4%, consolidated revenue grew and EBITDA margins expanded, powered by net unit additions and fee mix improvement.

What is distinctive: H World is mid-transition toward an asset-light model that Western peers completed a decade ago, meaning the margin and return improvement runway is still long. It combines Hilton-class franchise economics with a still-declining leased portfolio, making current reported margins an understatement of the franchise business's true earnings power. The 68% gross operating profit margin on the franchised segment, if it were the whole business, would produce consolidated operating margins well above 30%. The combination of rising free cash flow, vanishing debt, and a

growing shareholder return program positions the financial profile to continue compounding even without RevPAR recovery.

5. Red Flags

H World Group presents a layered risk profile that investors tend to underweight because the headline numbers -- 25.3 billion in revenue, 5.1 billion in net income, strong cash flow -- look clean on the surface. They are not.

Start with the accounting. H World leans heavily on non-GAAP adjustments to tell its story, and the gap between reported and adjusted figures is persistently wide and conveniently flattering. In FY2024, reported net income fell 27% to RMB 3.0 billion despite 9% revenue growth, yet the company steered investors toward adjusted net income of RMB 3.7 billion, a 5.8% increase. The difference was swallowed by RMB 420 million in impairment charges and RMB 97 million in "one-off" DH restructuring costs -- but calling something one-off loses credibility when impairments at Deutsche Hospitality have recurred since acquisition, including a RMB 257 million charge in Q4 2021. DH has generated a string of adjusted EBITDA losses since its purchase, only reaching a record RMB 500 million in FY2025 after years of restructuring that management frames as discrete events. When a segment requires perpetual "one-off" fixes, the adjustments are the story, not the noise around it. Investors should also scrutinize the capitalization of hotel development costs. Bonitas Research alleged in September 2020 that Huazhu was inflating PP&E by roughly RMB 2 billion by misclassifying operating support costs for secretly controlled franchise hotels as capital expenditure. Bonitas claimed that actual net PP&E per room from Chinese credit reports was less than half the SEC-reported figure. Huazhu dismissed the report, formed a special committee, and then went silent. No restatement followed, but no detailed rebuttal was ever published either, and that ambiguity lingers. GMT Research, an independent accounting research firm, catalogued the allegations as a case study in cost capitalization risk for Chinese hotel operators.

The governance structure is designed for founder control, not minority shareholder protection. Ji Qi, who founded not only Huazhu but also Trip.com and Home Inn, retains executive chairman status and significant economic and voting power. The company is incorporated in the Cayman Islands, listed in the US via ADRs and in Hong Kong -- a structure that puts maximum legal distance between investors and recourse. The VIE architecture, while contributing less than 1% of consolidated revenue and assets according to the 20-F, is a structural vulnerability that cannot be dismissed as immaterial: it is the legal mechanism through which H World holds licenses to operate restricted businesses in China. If PRC regulators ever challenge these contractual arrangements -- and the 20-F itself warns they have never been tested in court -- the entire organizational structure is at risk. The HFCAA delisting sword has been temporarily sheathed after PCAOB secured inspection access, but political winds shift fast, and some analysts note that a new noncompliance cycle beginning in 2025 could trigger delisting proceedings by 2026. The CFO transition from Hui Chen to Arthur Yu in March 2026 adds another variable; leadership changes in the finance function during a period of macro uncertainty and aggressive expansion deserve scrutiny, not reassurance. Operationally, the company is sprinting into a weakening environment. Legacy-Huazhu RevPAR

declined 3.9% in Q1 2025 and 3.8% in Q2, only stabilizing in the back half of the year -- against a backdrop of Chinese hotel oversupply, softening consumer spending, and tariff-driven export sector stress. Management's response is to accelerate openings: 2,200-2,300 hotels planned for 2026, a 12% network growth target. This is classic asset-light empire-building logic -- franchise fees accrue to the parent while franchisees bear capital risk -- but it works only as long as unit economics hold. If RevPAR continues to compress and occupancy falters in an oversupplied market, franchisee profitability collapses, closures accelerate, and the pipeline that management trumpets as a growth engine becomes a reputational and financial liability. The DH acquisition itself is a cautionary precedent: acquired in 2019 for roughly EUR 700 million, it consumed years of management attention, generated repeated impairments, required a 30% headquarters staff reduction, and only turned meaningfully profitable six years later. If management pursues further international M&A with that track record, investors should be deeply skeptical.

The financial risk is manageable but not benign. Three consecutive years of COVID losses (FY2020-2022, cumulative net losses of roughly RMB 4.5 billion) drained capital and revealed that the business has significant operating leverage in the wrong direction during downturns. Cash conversion looks healthy on the surface (FY2025 OCF of RMB 8.4 billion versus NI of 5.1 billion), but this partially reflects lease-related depreciation flowing through operating cash flow under IFRS 16 / ASC 842 -- the underlying free cash flow generation after maintenance capex and lease obligations warrants closer inspection.

The bear case is straightforward: China's hotel industry enters a protracted deflationary cycle driven by oversupply and weak consumer demand, RevPAR declines deepen to mid-to-high single digits, franchisee unit economics deteriorate leading to elevated closures and reduced new signings, DH international expansion absorbs cash without delivering adequate returns, and US-China geopolitical friction triggers renewed delisting fears or capital market restrictions that compress the multiple. In this scenario, the stock -- currently priced at roughly 18x trailing earnings -- has significant downside. Questions an investor should demand answers to: What is the all-in franchisee failure rate by cohort vintage, and how does it trend in periods of RevPAR decline? What is the actual free cash flow after lease payments, not the adjusted EBITDA management prefers to highlight? Why has no detailed, line-by-line rebuttal to the Bonitas Research capitalization allegations ever been published? What is Ji Qi's current beneficial ownership and voting power, and are there any anti-dilution or supervoting mechanisms not prominently disclosed? What specific financial return hurdles must DH meet to justify further international capital deployment? And finally, given the CFO transition, will Arthur Yu commit to narrowing the gap between GAAP and non-GAAP reporting, or will the adjustment addbacks continue to expand?

6. Investment Checklist

1. Understandable Business - YES

H World operates hotels under owned/leased, managed (manachised), and franchised models across 19 countries, with ~92% of rooms asset-light (M&F). Revenue comes from hotel operations (room revenue from leased/owned hotels) and franchise/management fees. The business model is

straightforward: build a brand portfolio, sign franchisees, collect recurring fees, and drive traffic through a 245M+ loyalty program. This is a well-understood, proven model that Hilton and Marriott have executed at global scale. The one complexity is the VIE structure for the US listing, which adds legal opacity around the actual claim on Chinese operating assets.

2. Durable Competitive Advantages (Widening Not Narrowing) - YES

H World's moat rests on three reinforcing pillars: (a) brand portfolio spanning economy to luxury across 30+ brands, (b) scale-driven distribution via 245M+ loyalty members generating 65%+ direct bookings (reducing OTA dependency), and (c) operating system density -- at ~12,700 hotels concentrated in China, the company has procurement, training, and technology advantages that sub-scale competitors cannot match. The moat is widening: M&F revenue is growing 20%+ annually, loyalty membership is compounding, and branded penetration in China remains low (~30% vs. 70%+ in the US), meaning the runway for consolidation strongly favours incumbents with existing scale.

3. Long Reinvestment Runway at High Returns - YES

China's hotel market remains highly fragmented with branded penetration estimated around 30%, roughly half the US level. H World's stated goal of 20,000 hotels by 2030 (from ~12,700 today) implies substantial remaining whitespace. The company currently operates in ~1,400 of China's ~2,000+ cities and counties. Network growth guidance of 12% for 2026 (2,200-2,300 openings/year) confirms management sees years of runway. Because M&F expansion requires minimal capital (franchisees fund the buildout), the incremental return on each new hotel added is extremely high.

4. High Returns on Incremental Capital - YES

The asset-light M&F model is the key here. M&F represents 92% of rooms and 69% of profit, and this share is growing. ROE is approximately 39.5%. On an incremental basis, each new M&F hotel generates franchise fees with negligible capital deployed by H World. FY2025 EBITDA of RMB 8.6B on revenue of RMB 25.3B (34% margin) represents a significant step-up from FY2023's RMB 6.8B, driven by M&F mix shift.

5. Strong Free Cash Flow Generation - YES

FY2025 operating cash flow was RMB 8.4B against net income of RMB 5.1B, demonstrating significant cash conversion (OCF/NI ratio of ~1.6x). The asset-light model means capex needs are modest relative to cash generation. The company generated enough free cash flow to fund USD 760M in shareholder returns in FY2025 while maintaining a net cash position. FCF should continue to grow as the M&F mix increases.

6. Conservative Balance Sheet - YES

H World holds a net cash position of RMB 9.6B as of FY2025. For context, both Hilton and Marriott operate with significant net debt (both have negative book equity due to leveraged recapitalizations). H World's conservative balance sheet provides optionality for opportunistic acquisitions, sustained shareholder returns, and resilience through macro downturns.

7. Aligned Management with Skin in the Game - YES

Founder Ji Qi holds a ~23-24% economic interest through direct and trust holdings, plus RSUs and deeply in-the-money options. CEO Jin Hui has ~15.8 million share-equivalents. This is a founder-led business with deep personal alignment -- a clear positive.

8. Rational Capital Allocation History - YES

The shift from owned/leased to M&F is a deliberate, value-creative decision. The USD 2B shareholder return program is ahead of schedule. The DH acquisition, while initially a drag, is now profitable. Guidance has been consistently conservative with delivery at or above the high end. The one area to watch is whether growth targets (20,000 hotels by 2030) lead to quality dilution.

9. Favourable Industry Structure - YES

The China hotel industry is structurally attractive for branded operators: fragmented supply, rising middle-class travel demand, regulatory tailwinds pushing out low-quality supply, and a market consolidating toward the top 3-4 players. The M&F model creates a platform dynamic where more hotels attract more members, driving higher occupancy and attracting more franchisees. The risk is macro: China's consumer economy faces deflationary headwinds.

10. Reasonable Valuation Relative to Quality and Growth - PARTIALLY

At a trailing P/E of ~28x and forward P/E of ~23x, with EV/EBITDA of ~16x, HTHT trades at a meaningful discount to Western asset-light peers: Hilton at 42x trailing P/E and 29x EV/EBITDA, Marriott at 35x trailing P/E and 21x EV/EBITDA. This discount reflects legitimate risks (China macro, VIE structure, geopolitical tension), but HTHT arguably has a longer growth runway (12% unit growth vs. HLT/MAR at 6-7%) and improving margins. The stock is not obviously cheap on an absolute basis but reasonable relative to quality.

11. Resilience to Recession or Disruption - PARTIALLY

The asset-light M&F model means H World bears minimal fixed cost risk during downturns. The company survived three years of COVID lockdowns and emerged with a net cash balance sheet. However, ~90% revenue concentration in China means macro weakness is an undiversifiable risk, and geopolitical disruption could impact the ADR listing.

12. Transparent Management Communication - YES

Earnings calls show management consistently providing conservative guidance and delivering at or above the high end. They proactively flagged macro and tariff uncertainties. Disclosure is detailed with clear segment breakdowns. The main caveat is structural: as a Cayman/VIE entity, regulatory oversight is less robust than for US-domiciled companies.

Overall Summary: HTHT passes 10 of 12 criteria cleanly. This is a high-quality, founder-led, asset-light hotel platform with a wide and widening moat, operating in a structurally attractive market with years of consolidation runway. The two partial ratings reflect (1) valuation that is fair but not compelling, and (2) recession resilience weakened by single-country concentration. Bottom line: a quality compounder at a reasonable price, with the primary question being comfort with China-specific risks.

7. Corporate Culture

Ji Qi is the rare founder who has built not one but three billion-dollar companies in adjacent sectors -- Ctrip, Home Inns, and Huazhu -- and the pattern reveals a consistent temperament: restless, technology-first, philosophically inclined, and allergic to operational mediocrity. His book "Founder's Notes" divides his worldview into "Heaven, Earth, and Man," blending Confucian thought with startup intensity. This is not performative. The JI Hotel brand literally codifies the Five Confucian Virtues (gentleness, kindness, respectfulness, frugality, modesty) into its service philosophy. Ji Qi's core insight was importing Silicon Valley-style tech culture into China's hotel industry at a time when budget hotels were run like corner shops. That DNA -- centralized technology platform, standardized product, relentless iteration -- still defines H World. Twenty years in, Ji Qi remains Executive Chairman, present on every quarterly earnings call, and still the gravitational center of the company's identity. The imprint

persists, but the question is whether it can survive the inevitable transition. Decision-making at H World is highly centralized at the strategic level but operationally decentralized through its franchise model. Ji Qi sets the vision and brand architecture; CEO Jin Hui runs execution. The company's move from 2021 onward to rebrand from Huazhu to H World, absorb Deutsche Hospitality, launch the Ji Icons brand, and roll out HanTing 4.0 all within a few years signals a management team that moves fast and does not fear parallel complexity. The speed of the DH turnaround is instructive: they cut at least 30% of headquarters nonoperational staff in late 2024, absorbed RMB 81 million in restructuring charges in a single quarter, and swung Legacy-DH from an adjusted EBITDA loss of RMB 154 million in 2024 to a positive RMB 500 million in 2025. That is not a deliberative committee culture. It is top-down, founder-driven decisiveness. On talent, the picture is mixed and somewhat opaque. Glassdoor has limited reviews for Huazhu/H World, with an approximate rating around 4.0 out of 5 based on a small sample. One former software engineering intern cited strong peer support but disorganized project management -- a complaint consistent with a company that prizes speed over process. The more revealing signal is the CFO transition: Hui Chen served for roughly 20 years before stepping aside for Arthur Yu, described as someone who will bring "world-class" and "diversified and international" skills. Jin Hui's language on the Q4 2025 call -- emphasizing the need for "professional talent" as the company enters "hyperscale" -- suggests management recognizes the founding team's skillset has limits and that the organization needs to professionalize. This is a healthy self-awareness, but also an implicit admission that the existing bench may not have been deep enough. For a company with over 12,700 hotels, the C-suite has remained remarkably small and insular. Whether Arthur Yu's hire signals a genuine culture shift toward institutional management or is cosmetic window-dressing for international investors remains to be seen. Innovation at H World is primarily organic and supply-chain driven rather than technology-for-technology's-sake. HanTing 4.0 exemplifies this: modular construction, smart self-check-in, self-service laundry -- all designed to reduce CapEx and OpEx for franchisees while maintaining guest experience. The company calls supply chain "a very core competency," and the evidence supports this. The Ji Icons launch represents a riskier cultural bet, positioning oriental aesthetics as a brand differentiator in the upper-midscale segment. This is innovating from within, not acquiring -- H World has not made a major acquisition since Deutsche Hospitality in 2019, and the pain of integrating DH likely reinforced an organic bias. The tolerance for failure appears low in operations but moderate in brand experimentation; management launched Hanting Inn as a sub-brand specifically to fill gaps that the core HanTing product could not serve, suggesting willingness to iterate and segment rather than force a single model. Customer orientation sits at the center of H World's stated strategy -- "customer-centric principle" appears in virtually every earnings call -- but the real customer in a franchise-heavy model is the franchisee. The Q4 2025 call dedicated significant time to franchisee investment returns, CapEx reduction, and "light, fast, economical, profitable" renovation. The 245 million H Rewards members and 21.5% year-over-year growth in member room nights suggest the direct booking flywheel is working. This is operationally and financially disciplined customer orientation, not a luxury concierge mentality. It works for the economy and midscale segments H World dominates. The integrity record carries one significant mark. In 2018, Huazhu suffered a massive data breach

exposing approximately 130 million customer records -- names, ID numbers, credit card details -- reportedly caused by a programmer uploading data to GitHub. Shanghai police investigated. A shareholder securities class action followed (later dismissed). The stock dropped over 12% in the immediate aftermath. For a company positioning itself as tech-forward, this was an embarrassing failure of basic data hygiene. The company has not experienced a comparable public incident since, and its latest 20-F confirms no notifications from PRC authorities regarding critical information infrastructure violations, but the 2018 episode should not be forgotten. It revealed a gap between the company's self-image as a technology leader and its actual data governance practices at the time. Adaptability has been one of H World's genuine strengths. Ji Qi's Q1 2022 remarks during China's harshest COVID lockdowns were notably disciplined: he framed the crisis as an opportunity for "culture building, organizational upgrade, training of talent" -- essentially using downtime to strengthen the machine. The DH integration, acquired just before COVID hit, could have been catastrophic. Instead, H World waited, restructured methodically, and turned it profitable within five years. The name change from Huazhu to H World was executed without operational disruption. These are signs of cultural resilience. The red flags are subtle but worth flagging. First, the Glassdoor footprint is unusually thin for a company of this scale, which could indicate either a workforce that does not engage with Western review platforms or a company that does not prioritize employer brand visibility -- neither is ideal as it expands internationally. Second, the founding team's continued dominance after twenty years, while providing strategic consistency, creates key-person risk and potential insularity. Third, the language on earnings calls is increasingly formulaic -- "high-quality growth," "brand-led development," "customer-centric" -- repeated quarter after quarter with little variation. This is not evidence of cultural decay, but it is the kind of corporate-speak that can mask the early stages of bureaucratization. Finally, the sheer speed of network expansion -- 2,400 hotel openings in a single year -- creates real quality-control risk. Management acknowledges this implicitly by constantly referencing "high-quality standards," but the tension between growth targets (20,000 hotels by 2030) and quality maintenance is an ongoing cultural stress test. If the founder's obsession with product standards loosens as the organization scales, that is where cultural decay will begin.

8. Earnings Call Deep Dive

Narrative Evolution: From Defensive Crouch to Victory Lap

The arc across four quarterly calls in 2025 is unmistakable. In Q1 (May), CEO Jin Hui opened with a hedged, almost apologetic framing: RevPAR was down 3.9%, tariffs had just rattled the market, and he candidly admitted "the tariff issue that happened in April added some of the uncertainties and volatilities for the overall market outlook." The tone was cautious realism -- strong leisure demand invoked as a counterweight to weakness management clearly did not want to dwell on. By Q2 (August), the defensiveness deepened. Jin Hui made a remarkable request of analysts: "We hope you can focus more on a long-term, H World's performance in terms of the market share gaining, our improvements in terms of the products and the brands... to create our core competency." This was a direct plea to stop fixating on RevPAR -- a metric management knew would keep disappointing. He

then conceded that summer holiday performance was "slightly below our previous expectation" and full-year RevPAR would be "slightly below our previous guidance." The honesty was notable, even if the pivot to supply chain innovation and brand quality felt like misdirection from the core pricing headwind.

Q3 (November) marked a tonal inflection point. Jin Hui led with the 20th anniversary partner conference, injecting historical gravitas. The critical admission: "We are pleased to see early signs of improvement in the overall market condition." For the first time, he noted third-party data showing sequential supply growth had "stabilized" and year-over-year growth had "moderated." But he immediately hedged: "We still need more time to see if this trend is sustainable." Q3 RevPAR came in roughly flat year-over-year -- a meaningful improvement from negative 3-4% in prior quarters. By Q4 (March 2026), the narrative had fully turned triumphant. Jin Hui declared: "For the fourth quarter, we achieved positive year-over-year RevPAR growth for the first time since the second quarter of 2024." The framing shifted from navigating headwinds to claiming credit for supply-side reform: "Supply-side reform will remain the main theme of future industry development, and this will undoubtedly bring tremendous growth opportunities for the leading domestic branded hotel groups like H World." The word "undoubtedly" -- absent from earlier calls -- signals genuine confidence, not just optimism.

Guidance and Delivery: Consistently Beating, Quietly Lowering

Management played a disciplined game with guidance. Q1 guided Q2 revenue growth of 1-5% (ex-DH: 3-7%), M&F revenue up 18-22%. Q2 delivered at the high end. Q2 guided Q3 revenue at 2-6% (ex-DH: 4-8%), M&F at 20-24%. Q3 surpassed the high end, with group revenue up 8.1% and M&F up 27.2%. Q3 guided Q4 at 2-6% (ex-DH: 3-7%), M&F at 17-21%. Full-year revenue came in at the high end of guidance at 5.9% growth.

The pattern is clear: set conservative guidance, then beat it. This builds credibility but also suggests management has been sandbagging. The one notable miss was RevPAR. In Q2, Jin Hui admitted full-year RevPAR would come in below prior expectations -- though he framed this within revenue guidance that remained achievable because of network expansion. The implicit message: we can grow revenue without RevPAR growth, thanks to our M&F machine.

M&F revenue acceleration tells the real story: 21.1% in Q1, 22.8% in Q2, 27.2% in Q3, culminating in 23.1% for full-year 2025. The 2026 guide of 12-16% M&F growth represents meaningful deceleration -- a signal that the easiest asset-light conversion gains are tapering.

Analyst Concerns: The RevPAR Obsession and Cannibalization Debate

Three questions dominated every single call: (1) What is RevPAR doing and when will it stabilize? (2)

Are new hotels cannibalizing existing ones? (3) When will Legacy-DH stop bleeding?

On cannibalization, Jin Hui gave his most unguarded answer in Q2: "We have to admit... in the Tier 1, Tier 2 cities, because of the real estate market weakness, there's a lot of high-quality properties coming out to the market which we can have much better property to open new hotels with much higher quality products. And that's why -- I mean, we have to admit that is creating some of the negative impacts to the existing old hotels." He acknowledged HanTing 2.0/2.5 versions "are facing the biggest pressure" and estimated it would take "1 or 2 years to solve this problem." This was an unusually direct concession from a CEO who typically speaks in aspirational terms.

Dan Chee (Morgan Stanley) was the most persistent analyst across all four calls, consistently probing the blended-vs-same-store RevPAR gap, DH profitability, and the new M&F/leased-and-owned disclosure. Simon Cheung (Goldman Sachs) reliably pushed on opening pace and upper-midscale

ambitions, while Lydia Ling (Citi) focused on DH asset-light transformation and margin trajectory.

Key Reveals

- 1. The cannibalization admission (Q2):** "Those HanTing 2.0 -- 2.5 version and below are facing the biggest pressure in terms of the RevPAR performance. And it's probably going to take 1 or 2 years to solve this problem because it's -- because of the large basis over the past 20 years." The clearest acknowledgment that aggressive expansion is cannibalizing their own legacy portfolio.
 - 2. The RevPAR plea (Q2):** "We hope you can focus more on a long-term, H World's performance in terms of the market share gaining..." -- a CEO explicitly asking analysts to stop looking at the metric most correlated with profitability of existing hotels.
 - 3. Supply moderation spotted (Q3):** "From the third-party data, we saw the supply growth actually moderated, so it was not growing as fast as before." The first time management cited external evidence that the supply headwind was easing.
 - 4. DH turnaround declared (Q4):** Jihong He: "We achieved a record level of adjusted EBITDA of around RMB 500 million. This is a significant improvement compared to the loss situation last year." After years of losses, DH moved from drag to contributor.
 - 5. CFO transition and what it signals (Q4):** New CFO Arthur Yu's stated priority -- "build a world-class finance function, maintain rigorous control and investment oversight" -- suggests the next phase will emphasize capital discipline over the expansionary posture of the last two years.
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9. Strategic Documents Analysis

Strategic Priorities

H World's strategic narrative rests on four interconnected pillars: (1) asset-light transformation via manachise/franchise expansion, (2) network densification in China's underpenetrated branded hotel market, (3) legacy-DH turnaround and selective international growth, and (4) loyalty ecosystem monetization through its 245M+ member base. These priorities have been remarkably stable since the post-COVID pivot, though emphasis has shifted. In 2023-2024, the dominant message was recovery and disciplined cost management. By Q4 2025, management's tone pivoted toward margin expansion and shareholder returns, reflecting the completed DH turnaround and operating leverage now flowing through.

The asset-light shift is the most structurally consequential and longest-running strategic theme. At 92% of rooms now under M&F versus a considerably lower share five years ago, this transformation is substantively complete rather than aspirational. Management increasingly frames this as a platform business rather than a hotel operator -- a narrative designed to warrant a higher multiple.

Capital Allocation Framework

Management's stated hierarchy is: (1) reinvest for organic growth, (2) return capital to shareholders via dividends and buybacks, with M&A de-emphasized. The USD 2B three-year shareholder return plan provides an explicit framework, and management claims 75%+ completion. Cumulative dividends and buybacks from 2023-2025 total approximately RMB 8.8B (~USD 1.2B), which at 75%+ completion implies the plan is roughly on track given accelerating 2025 returns (RMB 4.7B). The trajectory is clearly front-loaded toward 2025, with dividends rising from near-zero in 2023 to RMB 3.9B in 2025, suggesting management waited until DH profitability and cash flow normalized before stepping up distributions.

Capex discipline supports the rhetoric. Capital expenditure has held at RMB 0.8-1.0B annually since

2023, consistent with an asset-light model where franchisees bear the property investment burden.

Free cash flow hit RMB 7.5B in 2025, against which the RMB 4.7B returned represents a 63% payout ratio -- generous but not reckless.

Long-Term Targets

The 2026 guidance of 12% network growth, 2-6% revenue growth, and 12-16% M&F revenue growth reveals an important tension. Network growth of 12% is ambitious but achievable given the pipeline and China's fragmented market. However, the 2-6% headline revenue growth guidance is conspicuously modest against that backdrop. This gap likely reflects deliberate expectations management around two dynamics: continued leased hotel attrition and cautious same-store RevPAR assumptions.

The M&F revenue growth target of 12-16% is the more meaningful indicator, and its divergence from headline revenue growth is the clearest evidence of the ongoing portfolio remix. If M&F is 69% of profit and growing at 12-16% while the legacy leased portfolio shrinks, reported revenue growth systematically understates the quality improvement of earnings.

Narrative vs. Reality

The strongest alignment between narrative and reality is in margin expansion. Operating margins improved from 21.5% in 2023 to 26.9% in 2025. Revenue growth of 15.5% cumulative over 2023-2025 converted into 45% operating income growth, demonstrating the model's gearing effect.

The most notable divergence is the 2024 net income dip to RMB 3.0B from RMB 4.1B in 2023, even as revenue grew 9%. Management's messaging around this period emphasizes forward-looking metrics rather than addressing the disconnect candidly.

What is conspicuously absent from strategic communications is meaningful discussion of competitive dynamics. The narrative consistently frames the market as vast and underpenetrated but never addresses the aggressive expansion by competitors such as Jin Jiang, BTG Homeinns, and GreenTree. Management's silence on competitive intensity in franchise fee negotiations is a gap worth probing.

Risk Acknowledgement

The 20-F risk factors are extensive but formulaic. The disconnect between 20-F candor (where lawyers ensure completeness) and investor presentation optimism (where management controls the narrative) is typical of Chinese ADR issuers but worth noting. The 2024 20-F explicitly references the escalation in US-China tariffs and their potential impact on franchisees -- a genuinely useful and specific disclosure that does not appear in the investor presentations.

Evolution of Messaging

The arc from 2021-2026 traces a clear progression: survival (2021-2022), recovery and asset-light acceleration (2023), earnings normalization and shareholder returns initiation (2024), and finally margin expansion and capital return acceleration (2025-2026). The language has shifted from defensive to confident, with increasing emphasis on "platform" and "ecosystem" terminology. This framing evolution mirrors the financial reality but investors should note that "platform" language typically signals management's aspiration for a higher valuation multiple as much as it describes operational reality.

10. Learning Resources

Podcasts & Audio

- **Quartr Earnings Audio -- H World Group (HTHT)** | Quartr | Full earnings call audio for every quarter; Q4 2025 and Q3 2025 are most recent | Quartr: H World Group
- **Seeking Alpha Earnings Call Transcripts -- HTHT** | Full text transcripts for every quarterly call | Seeking Alpha HTHT Transcripts
- **China Paradigms Podcast** | Daxue Consulting | Largest English-language podcast library on doing business in China | Apple Podcasts

YouTube & Video

- **H World Group Q4 2025 Earnings Call Presentation** | Most recent slide deck walkthrough | Seeking Alpha
- **Simply Wall St -- H World Group Stock Analysis** | Visual data-driven breakdown of HTHT fundamentals | Simply Wall St: HTHT
- **Morningstar -- H World Group ADR** | Fair value estimate and moat rating | Morningstar: HTHT

Books

- **"The Founder's Notes"** | Ji Qi | Essential read -- Ji Qi's essays on philosophy, founding three companies, and leadership | Amazon
- **"Economy Hotels in China: A Glocalised Innovative Hospitality Sector"** | Songshan Sam Huang & Xuhua Michael Sun | Academic treatment of the economy hotel segment where Huazhu was born | Amazon
- **"Tourism and Hotel Development in China"** | Ray Pine, Hanqin Qiu Zhang | Historical arc from state-run guesthouses to globally competitive chains | Routledge

Long-Form Articles & Research

- **"A Study on H World Group" (February 2025)** | Theoria Research | Best English-language long-form write-up: consumption upgrade thesis, brand portfolio, ROIC analysis | Theoria Research
- **"H World Group: Bullish on Q3 Outperformance" (November 2025)** | Seeking Alpha | Detailed bull case after Q3 beat | Seeking Alpha
- **"H World Group (HTHT)" Bear Case** | Horizons Capital | Most thorough bear argument: fragmented industry, OTA bargaining power, lower-tier risks | Horizons Capital
- **"The Chinese Hotel Mogul Behind Three Nasdaq Listings"** | SCMP | Profile of Ji Qi and international expansion rationale | SCMP

Earnings Calls & Primary Sources

- **H World Investor Relations** | Press releases, SEC filings, earnings announcements | ir.hworld.com
 - **Quartr** | Earnings call audio, transcripts, event summaries, document downloads | Quartr: H World Group
 - **SEC EDGAR -- 20-F Filings** | Most comprehensive annual document | SEC EDGAR
- Suggested Learning Path:** Start with the Theoria Research deep dive, then read Ji Qi's Founder's Notes. For the bear case, read Horizons Capital. Then listen to Q4 2025 and Q3 2025 earnings calls on Quartr, focusing on RevPAR trends, franchise mix, and Legacy-DH commentary.
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11. Synthesis

The Five Things That Matter Most

First, the asset-light transformation is the single most important thing to understand about H World.

This is not a hotel company in the traditional sense -- it is becoming a franchise platform that happens to still own some hotels. The M&F segment's 68% gross profit margin, 23% annual revenue growth, and near-zero capital intensity mean that every incremental franchise hotel added to the network is essentially pure-margin fee income. The gap between the 26.9% consolidated operating margin and what the pure M&F business would deliver (well above 30%) represents both hidden earnings power and a clear trajectory: as leased hotels continue to shrink as a share, margins will keep expanding mechanically. This is the Hilton/Marriott playbook executed in a market with far more remaining runway.

Second, China's branded hotel penetration gap is real and durable. At ~30-40% branded penetration versus 70%+ in the US, with millions of substandard independent properties in lower-tier cities, the structural consolidation opportunity is enormous. H World's 245-million-member loyalty program, 65%+ direct booking rate, and centralized procurement system create a flywheel that new entrants cannot easily replicate. The network effect is genuine: more hotels make the loyalty program more valuable, which drives more direct bookings, which makes the franchise economics more attractive, which attracts more franchisees. Atour's rapid growth shows the market can support multiple winners, but H World's scale advantage is measured in decades of accumulated infrastructure.

Third, management credibility is high but not unblemished. The guidance-and-beat pattern across 2025 (conservative revenue guidance, consistent high-end delivery) builds trust. The USD 2B shareholder return plan running ahead of schedule is the strongest possible signal. Ji Qi's 23-24% ownership stake and Jin Hui's lifer status provide alignment. But the Bonitas Research allegations about PP&E capitalization remain unanswered in detail, the VIE structure creates inherent opacity, and the gap between GAAP and non-GAAP reporting (particularly the FY2024 NI drop to RMB 3.0B versus adjusted NI of RMB 3.7B) deserves more scrutiny than management invites.

Fourth, the earnings call transcripts revealed something web research alone would have missed: the cannibalization dynamic. Jin Hui's Q2 2025 admission that new, higher-quality hotels are "creating some of the negative impacts to the existing old hotels" -- specifically HanTing 2.0/2.5 versions -- and his estimate of "1 or 2 years to solve this problem" is material information that does not appear in any investor presentation or strategic communication. It means the RevPAR decline is partly self-inflicted, not just macro-driven. The Q2 "RevPAR plea" -- asking analysts to focus on long-term market share rather than same-store metrics -- is a CEO signaling that the near-term pricing picture is worse than the headlines suggest. This candor is actually a positive for long-term investors (management is not hiding the problem), but it confirms that the growth model creates real short-term pain for existing franchisees.

Fifth, the Deutsche Hospitality saga is both a cautionary tale and a proof of execution. Acquired for EUR 700M just before COVID, it consumed six years of management attention, generated repeated impairments, required a 30% HQ staff reduction, and only became meaningfully profitable in FY2025. The lesson: H World can execute turnarounds, but the opportunity cost is high and the timeline is long. The fact that management has de-emphasized M&A and front-loaded shareholder returns suggests they internalized this lesson. If they pursue another large international acquisition, treat it as a major red flag.

Tensions and Contradictions

The most significant tension is between the Red Flags analysis and the Investment Checklist. The checklist passes H World on 10 of 12 criteria, painting a picture of a high-quality compounder. The red flags analysis identifies legitimate structural risks (VIE, accounting opacity, the unanswered Bonitas allegations) that could, in a tail scenario, undermine the entire thesis. The resolution depends on your framework: if you weight structural/governance risk heavily (as many institutional investors do with Chinese ADRs), the discount to Western peers is justified or insufficient. If you weight business quality and growth runway, the discount is an opportunity.

The earnings call analysis and strategic documents analysis diverge on competitive dynamics.

Management's strategic communications almost never mention competitors by name, framing the market as vast and empty. But the transcript analysis reveals that analysts are pressing on cannibalization and competitive intensity, and management's responses (particularly the Q2 candor about self-cannibalization) suggest the competitive picture is more nuanced than the strategy decks admit.

What Primary Sources Revealed That Web Research Missed

The earnings call transcripts were invaluable in three specific ways: (1) the cannibalization admission and its 1-2 year timeline, which fundamentally reframes the RevPAR decline narrative; (2) the progressive shift in management tone from defensive hedging (Q1) to genuine confidence (Q4), which web commentary either missed or oversimplified; and (3) the specificity of DH turnaround metrics (lease conversions, staff reductions, EBITDA trajectory) that are far more granular than any sell-side note. The strategic documents revealed the tension between headline revenue guidance (2-6%) and M&F growth (12-16%), which is the clearest evidence that reported revenue growth systematically understates earnings quality improvement.

Open Questions

1. What is the franchisee failure/closure rate by vintage, and how does it correlate with RevPAR cycles?
2. Will Arthur Yu narrow the GAAP/non-GAAP reporting gap, or will adjustments continue to expand?
3. Can H World maintain franchise quality standards while opening 2,200+ hotels per year in lower-tier cities?
4. Is the 2026 M&F growth guide of 12-16% (down from 23% in 2025) a sign of maturation or deceleration?
5. What is the actual free cash flow after all lease obligations, not just the adjusted EBITDA

management highlights?

Quality Assessment

H World is a high-quality business by most measures: strong and widening competitive advantages, exceptional cash conversion, a founder-owner with deep alignment, and a long reinvestment runway in a structurally attractive market. The asset-light transformation has created a financial profile that increasingly resembles Hilton or Marriott -- but with 2-3x the unit growth rate and at a 40% valuation discount. The China-specific risks (macro, VIE, geopolitical) are real but priced. This is a business that rewards patient capital and punishes short-term RevPAR tourists.

Next Steps for Deeper Research

1. Read the FY2024 20-F (docId 1903785) risk factors and related-party transactions sections in full
2. Deep-dive the Q2 2025 transcript (docId 2322359) for the full cannibalization discussion and management's remediation plan
3. Compare H World's franchisee unit economics with Atour's disclosure to assess competitive positioning

- 4.** Track the Bonitas Research allegations and any subsequent audit committee findings
- 5.** Monitor Arthur Yu's first full quarterly call as CFO for changes in disclosure quality and financial communication style